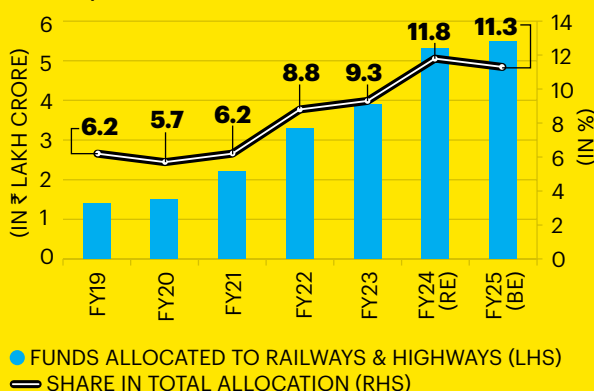


PUSH FOR HIGHWAYS, RAILWAYS

- Increase in allocation for transport infrastructure
- Priority on modernisation of road network



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FM SITHARAMAN ANNOUNCED ₹2.66 LAKH CRORE FOR RURAL DEVELOPMENT, INCLUDING INFRASTRUCTURE. IN THE LAST FEW BUDGETS, THE FOCUS OF THE GOVERNMENT HAS BEEN ON MODERNISING THE INDIAN RAILWAYS AND NATIONAL HIGHWAYS AUTHORITY OF INDIA WITH A RECORD ALLOCATION OF ₹14.7 LAKH CRORE BETWEEN FY21 AND FY24

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FINANCE MINISTER NIRMALA Sitharaman made history on July 23 by presenting her seventh consecutive Budget, where she spoke about the vision of 'Viksit Bharat'.

With that, the government's continued push for infrastructure was made clear in the Budget. The thrust on rural and energy sectors was in line with the country's aim of becoming a developed nation by 2047. Union Budget 2024-25 laid emphasis on a customised infrastructure package for Bihar and Andhra Pradesh, where the Janata Dal (United) and Telugu Desam Party (TDP) rule and are key allies of the NDA government.

Sitharaman announced ₹2.66 lakh crore for rural development, including infrastructure. The allocation for the Pradhan Mantri Awas Yojana Rural saw a 68% jump in FY25 compared to the last fiscal, and that is expected to push housing infrastructure. About 30 million houses, both in rural and urban areas, are expected to be built.

In the last few Budgets, the focus of the government has been on modernising the Indian Railways and National Highways Authority of India with a record allocation of ₹14.7 lakh crore between FY21 and FY24. To the surprise of many industry players, the minister did not announce any new scheme or project in the highways, railways, and aviation sectors for FY25. Under the Viksit Bharat vision, the government has set a target of building 50,000 km of high-speed access control highways and introducing high-speed trains in the country.

"The government's strong fiscal support of ₹11 lakh crore will have a positive cascading effect on different sectors. The ₹26,000-crore outlay for Bihar will boost roads and highways connectivity, while an allocation of ₹2.66 lakh crore for rural development—including

rural infrastructure—will give impetus to the rural economy," said Sanjay Kumar Sinha, Founder and Managing Director, Chaitanya Projects Consultancy, an infrastructure and transportation services firm.

The Budget announced the launch of Phase 4 of Pradhan Mantri Gram Sadak Yojana to provide all-weather connectivity to 25,000 rural habitations. Land reforms are also on the cards for development in rural areas. The Budget announced plans to assign unique identification numbers for all land parcels in rural areas through 'Bhu-Aadhaar', and it plans to establish land registries.

Infrastructure and energy security were among the top priorities of the government. Massive infrastructure development would need private capital, and the government is looking to promote this through viability gap funding and enabling policies and regulations. A market-based financing framework will be brought out to facilitate this, the finance minister announced.

States have also been asked to provide support of a similar scale for infrastructure and a provision of ₹1.5 lakh crore for long-term interest-free loans has been made to support the states in their resource allocation.

Keeping in mind India's net-zero emission target by 2070, the Budget laid a road map for infrastructure for energy transition with solar, nuclear, and pump-storage hydroelectricity receiving a policy fillip. To strengthen domestic manufacturing of solar modules and their components, currently imported from China, the Budget expanded the list of exempted capital goods for use in the manufacture of solar cells and panels.

Nuclear energy is expected to form a significant part of the energy mix and the Budget stressed on research and development in the sector. The government said